

A BUYER'S GUIDE

The 7 Pitfalls of Buying a Home in Los Angeles

And exactly how to avoid them.

MIKE GOLDFARB

GUIDING YOU HOME



BEFORE WE START

Buying in LA is a climb. Here's the map.

Here's what I've noticed guiding buyers through this city: the ones who end up happy aren't the ones who found a perfect house. They're the ones who saw the problems coming.

Los Angeles has its own set of traps: Prop 13 tax math, an insurance market in flux, decades of unpermitted additions, hillsides, fault lines and some of the most competitive bidding in the country.

None of them are a reason not to buy. They're just a reason to buy with your eyes open. This guide covers the seven I see trip people up most, and what to do about each one.

Mike

INSIDE

01 Budgeting for the price, not the payment

02 Treating insurance like a closing-week errand

03 Trusting the square footage (and the “bonus room”)

04 Stopping at the general home inspection

05 Skimming the disclosure packet

06 Winning the bidding war and losing the deal

07 Falling for the house and forgetting the block

1

PITFALL ONE

Budgeting for the price, not the payment

You get preapproved for $1.5 million and start shopping at $1.5 million. Then the real monthly number shows up.

WHY IT BITES IN LA

Your property tax resets to what you pay. Under Prop 13 the base rate is 1% of your purchase price, plus local bonds and assessments. In LA County that usually lands around 1.1% to 1.3% a year. The seller's tax bill tells you almost nothing.

The supplemental tax bill. A few months after closing, the county sends a one-time bill for the difference between the old assessed value and your price. It usually isn't covered by your lender's impound account, so it lands on you.

Special assessments and Mello-Roos. Newer communities often carry extra annual charges that can add hundreds a month.

Insurance and HOA dues have both climbed fast. More on insurance next.

HOW TO AVOID IT

- Pick the monthly payment you're comfortable with first, then work backward to a price.
- Estimate taxes at *your* price, and check the preliminary title report and tax bill for special assessments.
- Set aside cash for the supplemental tax bill.
- Budget roughly 1% of the home's value a year for maintenance. LA's housing stock is old.

MIKE'S TAKE

The number that matters isn't the price. It's the one that leaves your account on the 1st of every month.

PITFALL TWO

2 Treating insurance like a closing-week errand

Homeowners insurance used to be a formality. In California, it isn't anymore.

WHY IT BITES IN LA

Fewer carriers are writing new policies. Several major insurers have paused or limited new business in California, and hillside and canyon homes have felt it most since the January 2025 fires.

The FAIR Plan is the fallback. It's the state's insurer of last resort and mainly covers fire, so most owners pair it with a separate "difference in conditions" policy for theft, liability and water damage. Two policies, two premiums.

Fire zone maps have been redrawn. CAL FIRE has updated its Fire Hazard Severity Zone maps, so a home can be in a zone today that it wasn't in a few years ago.

No insurance, no loan. Your lender won't fund without proof of coverage. And standard policies never include earthquake.

HOW TO AVOID IT

- Get real quotes in the first few days of escrow. For hillside or canyon homes, get them before you write the offer.
- Ask the seller for the home's CLUE report, which shows insurance claims filed on the property.
- Know the age of the roof, the electrical panel and the plumbing. Insurers ask.
- Keep your investigation contingency open until you know you can insure the home at a price that works.
- Make a conscious decision about earthquake coverage.

MIKE'S TAKE

I want an insurance quote in hand before we're anywhere near removing contingencies. It's the one surprise you can't negotiate your way out of.

PITFALL THREE

3 Trusting the square footage (and the "bonus room")

The listing says three bedrooms, an office and a guest house. City records say two bedrooms and a garage.

WHY IT BITES IN LA

Unpermitted work is everywhere in LA. Garage conversions, enclosed patios, added bedrooms and ADUs built without permits are common in the city's older homes.

It follows the house, not the seller. Unpermitted space can hurt your appraisal, complicate insurance and refinancing, and you can inherit the job of legalizing or removing it.

Square footage is a moving target. The listing, the appraiser and the County Assessor often disagree.

HOW TO AVOID IT

- Pull the permit history. In the City of LA that's LADBS. Beverly Hills, Santa Monica, Culver City, Pasadena, Burbank and other cities keep their own records.
- In the City of LA, read the seller's Report of Residential Property Records (the "9A report"). It shows the legal use and number of units.
- Compare beds, baths and square footage against the Assessor's records.
- If something isn't permitted, get a contractor's estimate to legalize it before you remove contingencies, and price it into your offer.

MIKE'S TAKE

I love a guest house as much as anyone. I just want to know whether it's a guest house or a garage with a nice rug.

4

PITFALL FOUR

Stopping at the general home inspection

A general inspector is a generalist. Their report will often say "recommend further evaluation by a specialist." A lot of buyers never call one.

WHY IT BITES IN LA

Sewer lines. Many LA homes built between the 1920s and 1960s have clay or cast-iron sewer laterals that tree roots love to crack. The homeowner owns that line out to the street, and replacing it can run five figures.

Hillsides. Foundations, drainage, retaining walls and soil stability matter far more on a slope.

Electrical and plumbing. Older panels like Federal Pacific and Zinsco worry insurers. Galvanized pipes corrode from the inside.

Termites, chimneys and older materials. Termite reports, quake-cracked chimneys, and lead paint or asbestos in pre-1980 homes all need their own look.

HOW TO AVOID IT

- Order a sewer scope on every older home. It costs a few hundred dollars.
- Get a termite inspection and read both sections of the report.
- Bring in a roofer, chimney inspector or structural engineer whenever the general inspector flags something.
- On a hillside, have a geotechnical professional review the property.
- Use your full contingency period and get repair quotes in writing so you can negotiate a credit.

MIKE'S TAKE

A sewer scope costs a few hundred dollars. Skipping one can cost you tens of thousands. That's the easiest math in real estate.

5

PITFALL FIVE

Skimming the disclosure packet

A hundred-plus pages of seller disclosures, read on your phone at 11pm, signed at "I acknowledge." It happens all the time.

WHY IT BITES IN LA

The Natural Hazard Disclosure tells you whether the home sits in an earthquake fault zone, a liquefaction or landslide zone, a very high fire hazard zone or a flood zone.

The seller's own disclosures can reveal past leaks, neighbor disputes, remodels and repairs.

Condo HOA documents are where the money lives: the budget, the reserve study and the board minutes reveal upcoming special assessments, lawsuits, insurance problems and rental limits. California also requires periodic inspections of balconies and other elevated structures in condo buildings.

Buying a duplex or small building? In the City of LA, most units in buildings of two or more units built before October 1978 fall under rent stabilization, and citywide just-cause eviction rules apply. The tenants come with the building.

HOW TO AVOID IT

- Read every page, ideally with your agent walking you through it.
- For condos, read at least the last 12 months of board minutes and ask in writing about any pending special assessments.
- Ask whether the balcony inspection has been done and what it found.
- For tenant-occupied property, verify the rent roll, leases and tenant estoppels before you commit.
- Put every question in writing during your contingency period.

MIKE'S TAKE

Board minutes are where the real story is. If the roof is coming due or the building is in a lawsuit, it's in there.

PITFALL SIX

6 Winning the bidding war and losing the deal

The list price looked like a steal. Ten offers later, you're $200,000 over asking and you've waived everything.

WHY IT BITES IN LA

List price is a starting gun, not an appraisal. Many LA homes are priced to pull in multiple offers. Chasing list prices leads to a lot of disappointment.

Waiving the appraisal contingency means you cover any gap between the appraised value and your price in cash.

Waiving inspections means you inherit everything in Pitfall 4, sight unseen.

Unprepared offers get passed over even when the price is right.

HOW TO AVOID IT

- Judge value by recent closed sales, not asking prices.
- Decide your walk-away number before your second showing, not at midnight on offer day.
- Compete on terms too: a strong, fully underwritten preapproval, a quicker close, shorter (not zero) contingencies, a flexible rent-back.
- Know exactly how much of an appraisal gap you could cover in cash.
- Inspect before you offer when the seller allows it, and have any seller-provided inspections reviewed.

MIKE'S TAKE

The best offer isn't always the biggest one. It's the one the seller believes will actually close.

7

PITFALL SEVEN

Falling for the house and forgetting the block

You can renovate a kitchen. You can't renovate a commute.

WHY IT BITES IN LA

Distance is a lie in LA. Ten miles can be 20 minutes or 75, depending on the hour.

Noise and air. Flight paths into LAX, Burbank and Van Nuys, freeway proximity, nightlife streets and weekend tourist traffic all change how a home feels.

Schools go by exact address. Attendance boundaries can split a street, and magnet and charter options work differently.

The block can change. Newer state laws allow more units on many lots, and the empty lot next door won't stay empty forever.

Microclimates are real. On a summer afternoon the beach and the Valley can be 15 to 20 degrees apart.

HOW TO AVOID IT

- Drive the commute at real rush hour, both directions.
- Visit on a Friday night and a Saturday morning.
- Check school assignments by exact address (LAUSD has a Resident School Identifier tool).
- Look up zoning and nearby projects. In the City of LA, ZIMAS is the place to start.
- Knock on a neighbor's door. Two minutes of conversation beats two hours of online research.

MIKE'S TAKE

Fall in love with the neighborhood first. There will always be another house on the right street.

KEEP THIS ONE

The LA Buyer's Checklist

Print it, stick it on the fridge, check it off as you go. If every box is ticked, you've sidestepped all seven pitfalls.

Before you write an offer

- ☐ Know your comfortable monthly payment, not just your max loan
- ☐ Fully underwritten preapproval in hand
- ☐ Insurance quote (now, if it's a hillside or canyon home)
- ☐ Permit history and Assessor records checked
- ☐ Recent closed sales reviewed, walk-away number set
- ☐ Drove the commute at rush hour and visited at night

During escrow

- ☐ Read every page of the disclosures and Natural Hazard report
- ☐ Sewer scope, termite and general inspections done
- ☐ Specialists called on anything flagged
- ☐ HOA minutes, budget and reserve study read (condos)
- ☐ Rent roll and leases verified (tenant-occupied)
- ☐ Insurance bound or confirmed at a workable price

Before you remove contingencies

- ☐ Repair quotes in hand and credits negotiated
- ☐ Cost to legalize any unpermitted space understood
- ☐ Cash set aside for any appraisal gap you agreed to cover
- ☐ Earthquake coverage decision made
- ☐ Cash reserved for the supplemental tax bill
- ☐ Every open question answered in writing



YOUR NEXT STEP

Let's map out your climb.

Every one of these pitfalls is easier to avoid with a plan made before you fall in love with a house. Let's grab 20 minutes, talk through what you want, where you want it and what it'll really cost, and build your plan from there.

No pressure and no obligation. Just a clear picture of the path.

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ABOUT MIKE

Mike Goldfarb helps people buy and sell homes across Los Angeles with Coldwell Banker Realty. Think of him as a guide for the climb: calm, direct and in your corner from the first showing to the keys.

MIKE GOLDFARB

GUIDING YOU HOME

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